Higher National Diploma in Accountancy
First Year, First Semester Examination – 2021
DA 1153 – Business Communication I

Instructions for Candidates:

Question one (1) is compulsory.
All questions carry equal marks.
Answer all questions

No. of questions : 05
No. of pages : 04
Time : **(3) hours**

Q 1

Write an essay on ONE of the following topics in about 250 words. (25 marks)

i. Importance of teaching basic financial management at the school level.
ii. Skills and knowledge required to work in the financial sector.
iii. Ways to overcome the current financial crisis in Sri Lanka.

Q 2 (25 marks)

A. Read the following passage and answer the questions that follow. Refer to the text to check your answers when appropriate. (15 marks)

Money

Money is one of the most important inventions in human history. It helps people who do not know or trust each other to trade. If you have enough money, you can go into a store and walk out with a candy bar. The store owner does not need to know or trust you. They only need to count your money. This is a pretty big deal if you think about it.

Before money, most exchange was based on **credit** and debt. Imagine that you were part of **an** ancient tribe and had an extra pair of shoes. If your tribe mate Joshua needed shoes, you might give him your extra ones. Joshua would then be in debt to you. He would owe you one. Later, your family might be starving in the depths of winter. You might have no success hunting, and Joshua might share some of his food with you.

The credit and debt system served humans well for much of time. **Our** minds are good at remembering favors and who owes whom. The problem with this system is that it **requires** trust. I need to know the reputation of the person to whom I am lending. I need to trust that he or she will

repay me. Otherwise, we cannot trade. It's easy to trust our tribe mate Joshua. We know him. We are familiar with his reputation. **But** what about those from the tribe across the sea? Do we trust them? Probably not. At least not enough to give them our shoes on credit. After all, we don't even know them.

A society that does not have money cannot grow very large. It's hard to maintain relationships with more than 150 or 200 people. Reputational systems of exchange fail as groups grow **larger**. The need for money develops.

Imagine that you were a soldier living in a Roman army camp in the 1st century. Thousands of men and women live alongside you. **Many** are soldiers. Some are nurses or physicians. Others are merchants, farmers, or cooks. Let's say that you needed a blacksmith to repair your armor. The blacksmith doesn't know you. Even if he or she did, you might die in the next battle. The blacksmith cannot trust you to repay your debts. But the blacksmith does not need to trust you. You are paid in gold and silver coins. You can trade coins with strangers for whatever goods or services you desire.

Today, the monetary system once again relies on credits and debts. But now, banks and lenders can keep track of everyone's reputation. They use computers and government issued identities. They know our credit histories. They know our spending habits. They use algorithms to rank our credit worthiness. They know us well enough to issue credit to us, even though they don't **actually** know us. What a world!

1. According to the text, how did people mainly transact before the invention of money?
   a. They used the barter system and traded physical goods.
   b. They used seashells and beads as currency.
   c. They lent and borrowed from each other.
   d. Everything was free and everyone shared freely.

2. Why would the author lend to Joshua but not the tribe across the sea?
   a. Joshua is the wealthiest person in town.
   b. Joshua is a person who is known and trusted.
   c. Joshua is a feared Roman soldier.
   d. Joshua is the fastest person in the tribe.

3. Why did Roman army camps need to use money to facilitate trade?
   a. Most people did not know each other.
   b. Most people did not trust each other.
   c. People often died in battle.
   d. All of these reasons.

4. Which technologies enable modern societies to use credit systems?
   a. Computers and government identification
   b. Airplanes and phone networks
   c. Radio waves and license plates
   d. Steam power and waterways

5. Which main point about money is the author trying to make in this text?
   a. Money unfairly flows to the richest people in the world.
   b. Money allows people who don't know or trust each other to trade.
   c. Money is the root of all evil.
   d. Money can purchase many things but it cannot buy happiness.

(2x5=10 marks)

6. Why is reputation important when it comes to lending and borrowing? How does one maintain a good reputation as a borrower? (4 marks)

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7. How has technology helped systems of lending and borrowing to reach the masses? How are people able to get credit from a bank that does not personally know them? (3 marks)

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B. Identify the word class of the bold underlined words from the text. (08 marks)

i. credit - .....
ii. an - .....
iii. our - .....
iv. requires - .....
v. but - .....
vi. larger - .....
vii. many - .....
viii. actually - .....

Q 3 (25 marks)

A. Pick the appropriate preposition from the options given within parenthesis to fill in the blanks of the story. (15 marks)

Mr. Hill arrived in New York **i.** ..... (on, in) May 10 **ii.** ..... (at, on) eight o'clock **iii.** ..... (in, on) the evening. He decided to call on his uncle who lived **iv**..... (on, in) Fifth Avenue. He got on a bus **v.** ..... (at, of) the station and put his fare **vi.** ..... (on, into) the farebox. The bus was very crowded, so Mr. Hill had to stand up all the way. When he reached 85th Street, Mr. Hill got off the bus and walked a short distance **vii**..... (in, to) the apartment building **viii**..... (in, of) which his uncle lived. He knocked **ix**..... (at, in) the door **x**..... (of, on) his uncle's apartment. He waited **xi**..... (for, during) a few minutes, but no one came **xii**..... (to, at) the door. He was disappointed to find no one **xiii**..... (to, at) home. He didn't know where to go because his uncle had promised to reserve a room for him **xiv**..... (at, by) a downtown hotel. He saw a bench **xv**..... (at, to) the end of the hall, and decided to wait for his uncle.

B. Imagine you are the head of the marketing team in a company that produces electronic devices. Your company has produced a new budget laptop especially for undergraduates. Prepare a newspaper advertisement including necessary details to promote the product. (10 marks)

Q 4 (1x25=25 marks)

A. Use the correct forms of the verbs in parenthesis to fill in the gaps of the following paragraph. You may use the present and present continuous tenses where necessary.

Harold Black is a famous pianist. He 1..... (give) two or three concerts every week. He 2..... (travel) a lot and this week he's in New York. He 3..... (stay) at an expensive hotel. He's at his hotel as we speak. He 4..... (have) his breakfast in the restaurant. He 5..... (drink) a cup of coffee and he 6..... (read) a newspaper. Harold's always very busy. He 7..... (play) the piano regularly. He 8..... (practise) for four hours every day. He 9..... (not/go) to bed late and he always 10..... (get up) early. But he sometimes 11..... (get) dressed too quickly, and if you take a close look, he 12..... (wear) one blue sock and one red one right now!

B. Fill in the blanks of the story with past continuous verbs.

Yesterday, it 13..... (rain) all day. Ann 14..... (play) inside the house. She wanted to be outside. She 15..... (not/ play) outside because it 16..... (thunder) too. However, she 17..... (feel) tired of being trapped inside the house.

Ann 18..... (try) to keep busy inside the house. She 19..... (read) her book until the electricity went out. Then, she decided to practice her sewing. She 20..... (practice) sewing until lunchtime. After lunch, she sat by the window and watched the rain.

While Ann 21..... (watch) the rain, the phone rang. Her mother 22..... (call) to say she 23..... (come) home. She 24..... (bring) a new game. Ann and her mother ate ice cream and played the game.

While they 25..... (play), the rain stopped! But Ann didn't even notice. She had such a good time with her mom!

Q 5 (25 marks)

Your batch in the ATI is planning to organise a Commerce Day along with a guest lecture under the theme "Young Entrepreneurship: Our Hope for Better Economic Strength for Sri Lanka". The programme will be conducted with the presence of a famous financial advisor as the chief guest.

A. Write a letter to the director of your ATI requesting permission for the programme. Include necessary details in the letter and use the standard format of a formal letter. (15 marks)

B. Prepare an invitation to be sent to the expected participants of your programme. (10 marks)